SINENG WISDOM TECHNOLOGY PTE. LTD.
(Company Registration No. 202232574H)
(Incorporated in the Republic of Singapore)

AUDITED FINANCIAL STATEMENTS
FOR THE FINANCIAL PERIOD FROM 13 SEPTEMBER 2022 (DATE OF INCORPORATION) TO 31 DECEMBER 2023

T&C PARTNERS
CHARTERED ACCOUNTANTS

SINENG WISDOM TECHNOLOGY PTE. LTD.
(Incorporated in the Republic of Singapore)

CORPORATE INFORMATION
FOR THE FINANCIAL PERIOD FROM 13 SEPTEMBER 2022 (DATE OF INCORPORATION) TO 31 DECEMBER 2023

Directors

Chen Ganfeng
Duan Yuhe
Lin Jen-chieh

Company Secretary

Yang Yujie

Registered Office

51 Goldhill Plaza
#20-07
Singapore 308900

Independent Auditor

T&C Partners

Engagement partner: Chor Chung Heong

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SINENG WISDOM TECHNOLOGY PTE. LTD.
(Incorporated in the Republic of Singapore)

DIRECTORS' STATEMENT

The directors are pleased to present their statement to the member together with the audited financial statements of Sineng Widsom Technology Pte. Ltd. (the "Company") for the financial period from 13 September 2022 (date of incorporation) to 31 December 2023.

1. OPINION OF THE DIRECTORS

In the opinion of the directors,

(a) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 December 2023 and the financial performance, changes in equity and cash flows of the Company for the financial period from 13 September 2022 (date of incorporation) to 31 December 2023; and

(b) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

2. DIRECTORS

The directors of the Company in office at the date of this statement are:

Chen Ganfeng	(Appointed by Constitution)
Duan Yuhe	(Appointed by Constitution)
Lin Jen-chieh	(Appointed on 20 March 2023)

3. ARRANGEMENTS TO ENABLE DIRECTORS TO ACQUIRE SHARES OR DEBENTURES

Neither at the end of nor at any time during the financial period was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the directors of the Company to acquire benefits by means of the acquisition of shares in, or debentures of, the Company or any other body corporate.

4. DIRECTORS' INTERESTS IN SHARES OR DEBENTURES

According to the register kept by the Company for the purposes of Section 164 of the Singapore Companies Act 1967, none of the directors holding office at the end of the financial period had any interest in the shares or debentures of the Company or its related corporations either at the beginning or at the end of the financial period.

SINENG WISDOM TECHNOLOGY PTE. LTD.
(Incorporated in the Republic of Singapore)

DIRECTORS' STATEMENT (CONT'D)

5. SHARE OPTIONS

There were no share options granted during the financial period to subscribe for unissued shares of the Company.

There were no shares issued during the financial period by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial period.

6. AUDITOR

T&C Partners has expressed its willingness to accept re-appointment as auditor.

On behalf of the Board of Directors

Chen Ganfeng
Director

Duan Yuhe
Director

Singapore
15 AUG 2024

T&C PARTNERS
CHARTERED ACCOUNTANTS

T&C PARTNERS
111, North Bridge Road #12-05/06 Peninsula Plaza Singapore 179098
Tel +65 64385966
www.tncpartners.com.sg

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBER OF SINENG WISDOM TECHNOLOGY PTE. LTD.
(Incorporated in the Republic of Singapore)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Sineng Wisdom Technology Pte. Ltd. (the "Company"), which comprise the statement of financial position of the Company as at 31 December 2023, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows of the Company for the period from 13 September 2022 (date of incorporation) to 31 December 2023, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements are properly drawn up in accordance with the provisions of the Companies Act 1967 (the Act) and Financial Reporting Standards in Singapore (FRSs) so as to give a true and fair view of the financial position of the Company as at 31 December 2023 and of the financial performance, changes in equity and cash flows of the Company for the period from 13 September 2022 (date of incorporation) to 31 December 2023.

Basis for Opinion

We conducted our audit in accordance with Singapore Standards on Auditing (SSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority (ACRA) *Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities* (ACRA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Information

Management is responsible for the other information. The other information comprises the Directors' Statement set out on pages 1 to 2.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

T&C PARTNERS
CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBER OF SINENG WISDOM TECHNOLOGY PTE. LTD.
(Incorporated in the Republic of Singapore)

Responsibilities of Management and Directors for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Act and FRSs, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The directors' responsibilities include overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

T&C PARTNERS
CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBER OF SINENG WISDOM TECHNOLOGY PTE. LTD.
(Incorporated in the Republic of Singapore)

Auditor's Responsibilities for the Audit of the Financial Statements (Cont'd)

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

T&C Partners
Public Accountants and
Chartered Accountants

Singapore
15 August 2024

SINENG WISDOM TECHNOLOGY PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE FINANCIAL PERIOD FROM 13 SEPTEMBER 2022 (DATE OF INCORPORATION) TO 31 DECEMBER 2023

	Note	13/9/2022 (date of incorporation) to 31/12/2023 S$
Revenue	(4)	32,875,669
Cost of sales		(32,246,201)
Gross profit		629,468
Other expenses		(178,838)
Profit before tax	(5)	450,630
Income tax expense	(6)	(59,182)
Profit for the financial period, representing total comprehensive income for the financial period		391,448

The accompanying notes form an integral part of these financial statements.

SINENG WISDOM TECHNOLOGY PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2023

	Note	2023 S$
ASSETS		
Non-current asset		
Investments in subsidiaries	(7)	269,609
Current assets		
Trade receivables	(8)	32,280,566
Bank balances	(9)	94,019
		32,374,585
Total assets		32,644,194
EQUITY AND LIABILITIES		
Equity		
Share capital	(10)	98,865
Retained earnings		391,448
Equity attributable to owner of the Company		490,313
Current liabilities		
Trade payables	(11)	31,646,098
Other payables and accruals	(12)	448,601
Income tax liabilities		59,182
		32,153,881
Total liabilities		32,153,881
Total equity and liabilities		32,644,194

The accompanying notes form an integral part of these financial statements.

SINENG WISDOM TECHNOLOGY PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL PERIOD FROM 13 SEPTEMBER 2022 (DATE OF INCORPORATION) TO 31 DECEMBER 2023

	Share capital S$	Retained earnings S$	Total S$
At 13 September 2022 (date of incorporation)	98,865	-	98,865
Profit for the financial period, representing total comprehensive income for the fianancial period	-	391,448	391,448
At 31 December 2023	98,865	391,448	490,313

The accompanying notes form an integral part of these financial statements.

SINENG WISDOM TECHNOLOGY PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL PERIOD FROM 13 SEPTEMBER 2022 (DATE OF INCORPORATION) TO 31 DECEMBER 2023

	13/9/2022 (date of incorporation) to 31/12/2023 S$
Cash flows from operating activities	
Profit before tax	450,630
Change in working capital:	
Trade receivables	(32,280,566)
Trade payables	31,646,098
Other payables and accruals	448,601
Net cash generated from operating activities	264,763
Cash flow from investing activity	
Investments in subsidiaries, representing net cash used in investing activity	(269,609)
Cash flow from financing activity	
Issuance of shares, representing net cash generated from financing activity	98,865
Net increase in cash and cash equivalents	94,019
Cash and cash equivalents at the date of incorporation	-
Cash and cash equivalents at end of financial period	94,019

Note: Cash and cash equivalents comprise of bank balances.

The accompanying notes form an integral part of these financial statements.

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. CORPORATE INFORMATION

Sineng Wisdom Technology Pte. Ltd. (the "Company") is incorporated and domiciled in the Singapore with its registered office and principal place of business at 51 Goldhill Plaza, #20-07, Singapore 308900.

The principal activities of the Company are those of general wholesale trade of solar inverters and other holding companies.

The Company's immediate and ultimate holding company is Sineng Electric Co., Ltd., a company incorporated in China.

2. MATERIAL ACCOUNTING POLICY INFORMATION

2.1 Basis of preparation

The financial statements of the Company have been drawn up in accordance with Financial Reporting Standards in Singapore (FRSs). The financial statements have been prepared on the historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in Singapore Dollar (S$), which is the Company's functional currency.

The financial statements of the Company have been prepared on the basis that it will continue to operate as a going concern.

2.2 Adoption of new and amended standards and interpretations

The Company has adopted all the new and amended standards which are relevant to the Company and are effective for annual financial period beginning on 13 September 2022. The adoption of these standards did not have any material effect on the financial statements of the Company.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.3 Standards issued but not yet effective

The Company has not adopted the following standards applicable to the Company that have been issued but not yet effective:

Description	Effective for annual periods beginning on or after
Amendments to FRS 1 Presentation of Financial Statements: Classification of Liabilities as Current or Non-current	1 January 2024
Amendments to FRS 116 Leases: Lease Liability in a Sale of Leaseback	1 January 2024
Amendments to FRS 1 Presentation of Financial Statements: Non-current Liabilities with Covenants	1 January 2024
Amendments to FRS 7 Statement of Cash Flows and FRS 107 Financial Instruments: Disclosures: Supplier Finance Arrangements	1 January 2024
Amendments to FRS 21 The Effects of Changes in Foreign Exchange Rates: Lack of Exchangeability	1 January 2025
Amendments to FRS 110 Consolidated Financial Statements and FRS 28 Investments in Associates and Joint Ventures: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Date to be determined

The directors expect that the adoption of the standards above will have no material impact on the financial statements in the year of initial application.

2.4 Foreign currency transactions and balances

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the reporting date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in profit or loss.

2.5 Revenue recognition

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.5 Revenue recognition (cont'd)

Sale of solar investers

Revenue from sale of solar investers is recognised at the point-in-time when goods are delivered to the customer and all criteria for acceptance have been satisfied. Revenue is not recognised to extent where there are significant uncertainties regarding the recovery of the consideration due, associated cost or possible return of goods.

2.6 Consolidated financial statements and holding company

Consolidated financial statements have not been prepared to consolidate the financial statements of its subsidiaries as the Company is a wholly-owned subsidiary of Sineng Electric Co., Ltd., which is incorporated in China. The consolidated financial statements can be obtained from No.6, Hehui Road, Huishan District, Wuxi City China.

Subsidiaries are entities controlled by the Company. Control exists when the Company has the power, directly or indirectly, to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

In the Company's financial statements, investments in subsidiaries are carried at cost less accumulated impairment losses, if any.

2.7 Impairment of non-financial assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, (or, where applicable, when an annual impairment testing for an asset is required), the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss.

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.8 Financial instruments

(a) Financial assets

Initial recognition and measurement

Financial assets are recognised when, and only when the entity becomes party to the contractual provisions of the instruments.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at Fair Value through Profit or Loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third party, if the trade receivables do not contain a significant financing component at initial recognition.

Subsequent measurement

Debt instruments

Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the contractual cash flow characteristics of the assets. The three measurement catogeries for classification of debt instruments are amortised cost, Fair Value through Other Comprehensive Income (FVOCI) and FVPL. The Company only has debt instruments at amortised cost.

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the assets are derecognised or impaired, and through the amortisation process.

Derecognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

(b) Financial liabilities

Initial recognition and measurement

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at FVPL, directly attributable transaction costs.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.8 Financial instruments (cont'd)

(b) Financial liabilities (cont'd)

Subsequent measurement

After initial recognition, financial liabilities that are not carried at FVPL are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amounts and the consideration paid is recognised in profit or loss.

2.9 Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment which could affect debtors' ability to pay.

The Company considers a financial asset in default when contractual payments are 60 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

2.10 Cash and cash equivalents

Cash and cash equivalents comprise cash at banks which are subject to an insignificant risk of changes in value. These also include bank overdrafts that form an integral part of the Company's cash management.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.11 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2.12 Taxes

(a) Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authority. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

(b) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rate (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

2.13 Share capital

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

3.1 Judgements made in applying accounting policies

Determination of functional currency

In determining the functional currency of the Company judgement is used by the Company to determine the currency of the primary economic environment in which the Company operates. Consideration factors include the currency that mainly influences sales prices of goods and services and the currency of the country whose competitive forces and regulations mainly determines the sales prices of its goods and services.

3.2 Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

(a) Impairment of investments in subsidiaries

The management follows the guidance of FRS 36 – Impairment of Assets, in determining whether investments in subsidiaries are impaired requires assumption to be made regarding the duration and extent to which the fair value of an investment is less than costs and the financial health of and near-term business outlook for the investment, including factors such as industry and sector performance, changes in technology and operational and financing cash flow.

Management's assessment for impairment of investments in subsidiaries are based on the estimation of value in use of the cash generating unit ('CGU") by forecasting the expected future cash flows, using a suitable discount rate in order to calculate the present value of those cash flows.

The carrying amounts of investments in subsidiaries are disclosed in Note 7 to the financial statements.

(b) Income tax

Significant judgement is involved in determining the provision for income tax. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Company recognises liabilities for expected tax issues based on estimates of whether additional tax will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

4. REVENUE

	13/9/2022 (date of incorporation) to 31/12/2023 S$
Type of good or service	
Sale of solar investers	32,875,669
Timing of transfers of good or service	
At a point-in-time	32,875,669

5. PROFIT BEFORE TAX

Profit before tax has been arrived at after charging:

	13/9/2022 (date of incorporation) to 31/12/2023 S$
Professional fee	12,000
Directors' remuneration	168,000

6. INCOME TAX EXPENSE

Relationship between tax expense and accounting profit

A reconciliation between tax expense and the product of accounting profit multiplied by the applicable corporate tax rate for the financial period from 13 September 2022 (date of incorporation) to 31 December 2023 was:

	13/9/2022 (date of incorporation) to 31/12/2023 S$
Profit before tax	450,630
Income tax using the statutory tax rate of 17%	76,607
Adjustment:	
- Income tax exemption	(17,425)
Income tax expense recognised in profit or loss	59,182

7. INVESTMENTS IN SUBSIDIARIES

	2023 S$
Unquoted equity shares, at cost	269,609

The details of the subsidiary are as follow:

Name of subsidiary	Principal activities	Country of incorporation and place of business	Effective equity interest held 2023 %
* Sineng Participacao Ltda	Sale of solar investers	Brazil	100
* Sineng Electric Hellas Single Member P.C.	Sale of solar investers	Greece	100
* Sineng Electric Inc	Sale of solar investers	USA	100

* *Not acting as auditors*

8. TRADE RECEIVABLES

	2023 S$
Trade receivables: - Related company	32,280,566

The trade receivables are subject to the expected credit loss (ECL) model under the financial reporting standard on financial instruments. The methodology applied for impairment loss is the simplified approach to measuring expected credit losses (ECL) which uses a lifetime expected loss allowance for all trade receivables. The expected lifetime losses are recognised from initial recognition of these assets. These assets are grouped based on shared credit risk characteristics and the days past due for measuring the expected credit losses. As at the end of reporting year, no allowance for ECL is required.

As part of the process of setting customer credit limits, different credit terms are used. Trade receivables are non-interest bearing and are generally on 30 days' terms. But some customers take a longer period to settle the amounts.

The Company has trade receivables amounting to S$32,280,566 that are past due at the end of the reporting period but not impaired. These receivables are unsecured.

Trade receivables are denominated in United States dollars.

9. BANK BALANCES

Bank balances are denominated in the following currencies:

	2023 S$
Euro	2
Singapore Dollar	94,016
United States Dollar	1
	94,019

10. SHARE CAPITAL

	2023 S$
Issued and fully paid	
100,000 ordinary shares	98,865

During the financial period, the Company issued 100,000 ordinary shares for a cash consideration of S$98,865 to incorporate the Company and as working capital.

The holder of ordinary shares are entitled to receive dividends as and when declared by the Company. The ordinary shares carry one vote per share without restrictions. The ordinary shares have no par value.

11. TRADE PAYABLES

	2023 S$
Trade payables:	
- Immediate holding company	31,646,098

Trade payables are non-interest bearing and normally settled on 30 days' terms.

Trade payables are denominated in United States dollars.

12. OTHER PAYABLES AND ACCRUALS

	2023 S$
Other payables - Immediate and ultimate holding company	268,601
Accruals	180,000
	448,601

Other payables are non-trade in nature, unsecured, repayable on demand and interest-free.

Other payables are denominated in United States dollars.

13. FINANCIAL RISK MANAGEMENT

The Company's activities expose it to a variety of financial risks from its operations. The key financial risks include market risk (including foreign currency risk and interest rate risk), credit risk and liquidity risk.

The directors review and agree policies and procedures for the management of these risks, which are executed by the management team. It is, and has been throughout the current financial period, the Company's policy that no trading in derivatives for speculative purposes shall be undertaken.

The following sections provide details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

There has been no change to the Company's exposure to these financial risks or the manner in which it manages and measures the risks.

(a) Market risk

Market risk is the risk that changes in market prices, such as interest rates and foreign exchange rates will affect the Company's income. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

(i) Foreign currency risk

The Company's foreign exchange risk results mainly from cash flows from transactions denominated in foreign currencies. At present, the Company does not have any formal policy for hedging against currency risk.

The Company has transactional currency exposures arising from trade receivables, bank balances, trade payables and other payables and accruals that are denominated in currencies other than the functional currency, in particular the United States Dollar ("USD") and Euro ("EUR").

Information on the Company's currency exposure are detailed in Notes 8,9,11 and 12 to the financial statements.

The Company's currency exposures to the USD and EUR at the reporting date were as follows:

13. FINANCIAL RISK MANAGEMENT (CONT'D)

(a) Market risk (cont'd)

(i) Foreign currency risk (cont'd)

	2023	
	US$	EUR
	S$	S$
Financial assets		
Trade receivables	32,280,566	-
Bank balances	1	2
	32,280,567	2
Financial liabilities		
Trade payables	(31,646,098)	-
Other payables and accruals	(268,601)	-
	(31,914,699)	-
Currency exposures	365,868	2

A 10% strengthening of Singapore dollars against the foreign currencies denominated balances as at the reporting date would increase/(decrease) profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

	Profit or loss (after tax) 2023 S$
United States Dollar	30,367
Euro	2

A 10% weakening of Singapore dollars against the above currencies would have had equal but opposite effect on the above currencies to the amounts shown above, on the basis that all other variables remain constant.

(ii) Interest rate risk

The interest rate risk exposure mainly arises from changes in floating interest rate. The Company is not exposed to significant interest rate risk as it does not have any significant interest-bearing assets or liabilities. Accordingly, sensitivity analysis is not disclosed.

(b) Credit risk

Credit risk refers to the risk that the counterparty will default on its contractual obligations resulting in a loss to the Company. The Company's exposure to credit risk arises primarily from trade receivables. For other financial assets (including cash and cash equivalents), the Company minimises credit risk by dealing exclusively with high credit rating counterparties.

13. FINANCIAL RISK MANAGEMENT (CONT'D)

(b) Credit risk (cont'd)

The Company has adopted a policy of only dealing with creditworthy counterparties. The Company performs ongoing credit evaluation of its counterparties' financial condition and generally do not require a collateral.

The Company considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period.

The Company has determined the default event on a financial asset to be when internal and/or external information indicates that the financial asset is unlikely to be received, which could include default of contractual payments due for more than 60 days or there is significant difficulty of the counterparty.

To minimise credit risk, the Company has developed and maintained the Company's credit risk gradings to categorise exposures according to their degree of risk of default. The credit rating information is supplied by publicly available financial information and the Company's own trading records to rate its major customers and other debtors. The Company considers available reasonable and supportive forward-looking information which includes the following indicators:

- Internal credit rating
- External credit rating
- Actual or expected significant adverse changes in business, financial or economic conditions that are expected to cause a significant change to the debtor's ability to meet its obligations
- Actual or expected significant changes in the operating results of the debtor
- Significant increases in credit risk on other financial instruments of the same debtor
- Significant changes in the expected performance and behaviour of the debtor, including changes in the payment status of debtors in the group and changes in the operating results of the debtor.

Regardless of the analysis above, a significant increase in credit risk is presumed if a debtor is more than 30 days past due in making contractual payment.

The Company determined that its financial assets are credit-impaired when:

- There is significant difficulty of the debtor
- A breach of contract, such as a default or past due event
- It is becoming probable that the debtor will enter bankruptcy or other financial reorganisation
- There is a disappearance of an active market for that financial asset because of financial difficulty

The Company categorises a receivable for potential write-off when a debtor fails to make contractual payments more than 120 days past due. Financial assets are written off when there is evidence indicating that the debtor is in severe financial difficulty and the debtor has no realistic prospect of recovery.

13. FINANCIAL RISK MANAGEMENT (CONT'D)

(b) Credit risk (cont'd)

The Company's current credit risk grading framework comprises the following categories:

Category	Definition of category	Basis for recognising expected credit loss (ECL)
I	Counterparty has a low risk of default and does not have any past-due amounts.	12-month ECL
II	Amount is >30 days past due or there has been a significant increase in credit risk since initial recognition.	Lifetime ECL – not credit-impaired
III	Amount is >60 days past due or there is evidence indicating the asset is credit-impaired (in default).	Lifetime ECL – credit-impaired
IV	There is evidence indicating that the debtor is in severe financial difficulty and the debtor has no realistic prospect of recovery.	Amount is written off

The table below details the credit quality of the Company's financial assets, as well as maximum exposure to credit risk by credit risk rating categories:

	Note	Category	12-month or lifetime ECL	Gross carrying amount	Loss allowance	Net carring amount
				S$	S$	S$
31 December 2023						
Trade receivables **(Note 1)**	8	II	Lifetime ECL	32,280,566	-	32,280,566

For trade receivables, the Company has applied the simplified approach in FRS 109 to measure the loss allowance at lifetime ECL. The Company determines the ECL by using a provision matrix, estimated based on historical credit loss experience based on the past due status of the debtors, adjusted as appropriate to reflect current conditions and estimates of future economic conditions. Accordingly, the credit risk profile of trade receivables is presented based on their past due status in terms of the provision matrix.

13. FINANCIAL RISK MANAGEMENT (CONT'D)

(b) Credit risk (cont'd)

	Days past due					
	Not past due S$	Less than 30 days S$	31 to 60 days S$	61 to 90 days S$	More than 90 days S$	Total S$
31 December 2023						
Expected credit loss rate	0%	0%	0%	0%	0%	
Trade receivables	-	-	-	-	32,280,566	32,280,566
Expected credit loss	-	-	-	-	-	-
						32,280,566

Excessive risk concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographical region, or have economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Company's performance to developments affecting a particular industry.

Exposure to credit risk

The Company has no significant concentration of credit risk. The Company has credit policies and procedures in place to minimise and mitigate its credit risk exposure.

(c) Liquidity risk

Liquidity risk refers to the risk that the Company will encounter difficulties in meeting its short-term obligation due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. It is managed by matching the payment and receipts cycles. The Company finances its working capital requirements through equity and funds generated from operations. The directors are satisfied that funds are available to finance the operations of the Company.

13. FINANCIAL RISK MANAGEMENT (CONT'D)

(c) Liquidity risk (cont'd)

Analysis of financial instruments by remaining contractual maturities

The table below summarises the maturity profile of the Company's financial assets and liabilities at the reporting date based on contractual undiscounted repayment obligations.

	2023		
	Carrying amount S$	Contractual cash flows S$	One year or less S$
Financial assets			
Trade receivables	32,280,566	32,280,566	32,280,566
Bank balances	94,019	94,019	94,019
Total undiscounted financial assets	32,374,585	32,374,585	32,374,585
Financial liabilities			
Trade payables	(31,646,098)	(31,646,098)	(31,646,098)
Other payables and accruals	(448,601)	(448,601)	(448,601)
Total undiscounted financial liabilities	(32,094,699)	(32,094,699)	(32,094,699)
Total net undiscounted financial assets	279,886	279,886	279,886

14. FINANCIAL INSTRUMENTS BY CATEGORY

At the reporting date, the aggregate carrying amounts of financial assets at amortised cost and financial liabilities at amortised cost were as follows:

	2023 S$
Financial assets measured at amortised cost	
Trade receivables (Note 8)	32,280,566
Bank balances	94,019
Total financial assets measured at amortised cost	32,374,585
Financial liabilities measured at amortised cost	
Trade payables (Note 11)	31,646,098
Other payables and accruals (Note 12)	448,601
Total financial liabilities measured at amortised cost	32,094,699

15. FAIR VALUE OF ASSETS AND LIABILITIES

Assets and liabilities not measured at fair value

Bank balances and other payables and accruals

The carrying amounts of these balances approximate their fair values due to the short-term nature of these balances.

Trade receivables and trade payables

The carrying amounts of these balances approximate their fair values as they are subject to normal trade credit terms.

16. CAPITAL MANAGEMENT

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and healthy capital ratio in order to support its business and maximise shareholder's value. The capital of the Company comprised issued share capital and retained earnings.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company adjusts the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies or processes during the financial period ended 31 December 2023.

The Company monitors capital on the basis of the gearing ratio. The ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including as trade payables and other payables and accruals) less bank balances. Total capital is calculated as total equity as shown in the statement of financial position, plus net debt.

16. CAPITAL MANAGEMENT (CONT'D)

No specific gearing ratio has been determined by management with the overall objective to keep ratio as low as possible and such policy has not been changed since incorporation.

	2023 S$
Net debt	32,000,680
Total equity	490,313
Total capital	32,490,993
Gearing ratio	0.98

The Company is not subject to any externally imposed capital requirements.

The Company's strategy remains consistent since incorporation.

17. COMPARATIVE INFORMATION

The financial statements cover the period since incorporation on 13 September 2022 to 31 December 2023. These being the first set of accounts, there are no comparative figures.

18. AUTHORISATION OF FINANCIAL STATEMENTS FOR ISSUE

The financial statements for the financial period from 13 September 2022 (date of incorporation) to 31 December 2023 were authorised for issue in accordance with a resolution of the Board of Directors of the Company on 15 August 2024.

THE ACCOMPANYING SUPPLEMENTARY STATEMENT OF PROFIT OR LOSS HAS BEEN PREPARED FOR MANAGEMENT PURPOSE ONLY AND DOES NOT FORM PART OF THE AUDITED FINANCIAL STATEMENTS

SINENG WISDOM TECHNOLOGY PTE. LTD.
(Incorporated in the Republic of Singapore)

SUPPLEMENTARY STATEMENT OF PROFIT OR LOSS
FOR THE FINANCIAL PERIOD FROM 13 SEPTEMBER 2022 (DATE OF INCORPORATION)
TO 31 DECEMBER 2023

	13/9/2022 (date of incorporation) to 31/12/2023 S$
Revenue	32,875,669
Less: Cost of sales	(32,246,201)
Gross profit	629,468
Less: Other expenses	
Audit fee	12,000
Administrative fee	41
Bank charges	(1,203)
Directors' remuneration	168,000
	178,838
Profit before tax	450,630